

PRODUCT TEAR DOWN

An end-to-end product breakdown and analysis

JULY 2022
1ST EDITION



SPOTIFY

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Introduction

Spotify is a Swedish firm which is known for its music streaming application, available in ios/android/windows platforms. It has acquired 24 organizations till date. It offers a subscription service to over 82 million copyrighted music & podcasts. The current user base stands at 182 million subscribers from 180+ countries.

Spotify offers two types of subscription -

1. **Spotify Free** - Ad included, limited music and quality with no download capability
2. **Spotify Premium** - Ad free, feature-unlocked & 320kbps quality music with download option

Unlike Youtube, artists do not receive **royalties** on spotify based on the number of listeners but instead they receive royalties are given to artists vary based on how their music is streamed by users or the agreements signed.

The different **genre** available are -

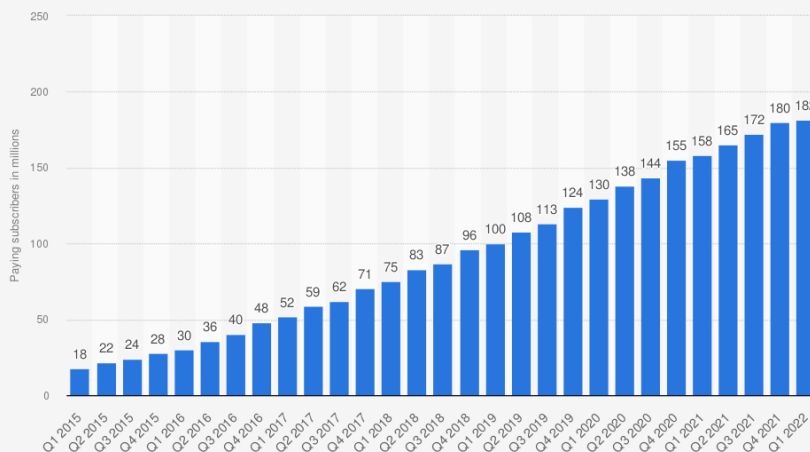
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|--------------------|-----------------------|
| 1. Educational | 6. Music |
| 2. Comedy | 7. TV |
| 3. News & Politics | 8. Lifestyle & Health |
| 4. Stories | |
| 5. Sports | |

Competitors

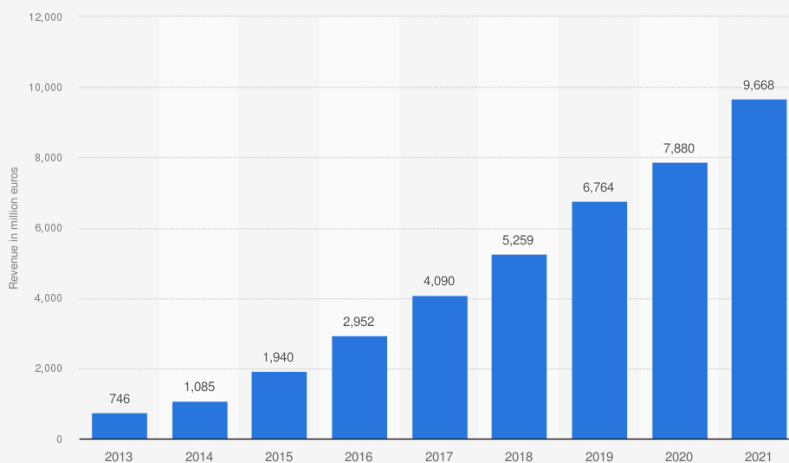


Growth of Spotify

Number of Spotify premium subscribers worldwide from 1st quarter 2015 to 1st quarter of 2022 (in millions)



Spotify's revenue worldwide from 2013 to 2021 (in million euros)



A BRIEF HISTORY OF SPOTIFY

JUL 14, 2006

Daniel Ek and Martin Lorentzon developed and founded Spotify in Stockholm, Sweden.

OCTOBER 7, 2009

Spotify is publicly released (by invitation only) in Scandinavia, the United Kingdom, France and Spain.

NOVEMBER 9, 2009

Spotify extends its mobile reach with the release of an app for phones powered by the Nokia-led Symbian operating system

SEPTEMBER 1, 2010

Spotify receives the World Economic Forum's Technology Pioneer award for 2011.

JULY 14, 2011

Spotify launches in the United States.

AUGUST 11, 2011

Spotify opens up its code to iOS developers, with big implications for music on the iPhone, iPod Touch, and iPad.

DECEMBER 31, 2011

Spotify financials concludes year with a loss of nearly \$60 million on revenues of \$244 million.

MARCH 2012

Spotify announces that its app users listened to 1,500 years of music in three months.

JUNE 15, 2017

Spotify announces 140 million active users.

Source : Company data

APRIL 3, 2018

Spotify makes stockmarket debut by starting selling shares on the New York Stock Exchange.

User Personas

Active Listener

- Users who are actively listening to enjoy the music
- Such users listen to particular genre or has a saved playlist

Seekers

- Users who are looking for a particular genre or label

Casual Listener

- Users who listen to music while doing other things
- Procrastinators who listen to automatically generated playlists

Artist

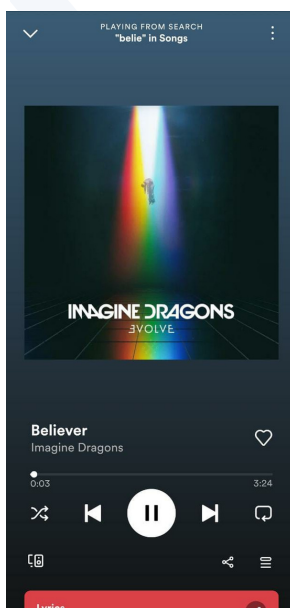
- Users who create music albums & podcasts
- Such users have an agreement with Spotify

Functionalities

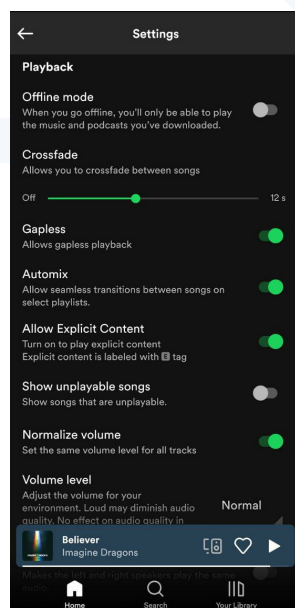
Music Streaming

Interesting Features

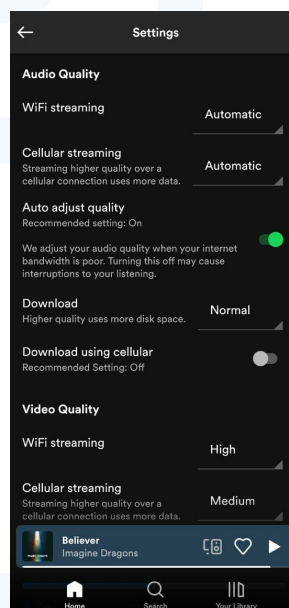
- *Playback Crossfade & Transition* - Allows you enjoy music without abrupt cuts in-between songs. Ability to select overlap fadeout time for smooth transition
- *Streaming & Download Quality* - Ability to control the audio quality based on users storage space and internet bandwidth capacity
- *Re-order playlist* - Spotify gives you the opportunity to custom reorder the playlist and also sort according to recently played, newly added and alphabetically.
- *Save music offline*- Download music to listen offline without internet connectivity.
- *Spotify using web interface* - Ability to stream music from desktop also from the website.



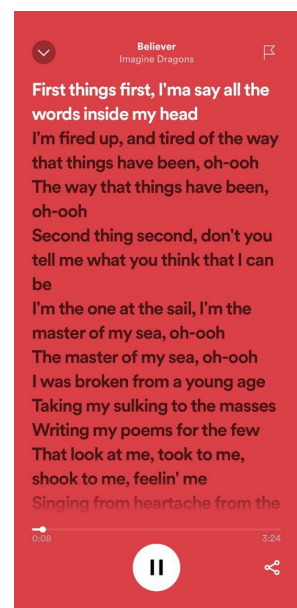
Music Streaming



Playback Controls



Streaming
Quality



Live Lyrics

- *Sharing to Social Media*- Allows you to share the song in top social media platforms thus engaging cross-platform marketing from the app
- *Live lyrics*- users can view live lyrics along with the song to improve engagement and perform karaoke

Pain Points

- Custom re-order of playlist can be done only in desktop. Ability to custom re-order playlist in mobile phone will improve usability
- Cross transition for fixed time is annoying sometimes when the most important beginning gets merged with previous song

Device Connectivity

Interesting Features

- *Music streaming to speakers*- Share music immediately to available Bluetooth audio speakers via Spotify app itself
- *Control with Voice* - Connect with Voice Assistants like Amazon's Alexa and Apples Siri and can be used via Echo Dot and Alexa devices
- *Spotify in Uber* - Connect spotify premium account to Uber app to access spotify at your Uber Cab seamlessly
- *Car Thing*: Car accessory with hardware to be connected as a plug and play with your car and linked with spotify premium to play songs directly in your car.

Pain points

- Cannot control Spotify mobile app via voice assistant apps such as Alexa, Siri. Removes the usability achieved via pairing with Alexa and Siri in separate Echo Dot devices.

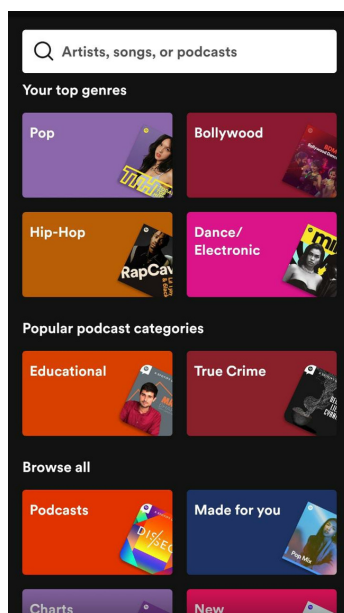
3) Music Curation

Interesting Features

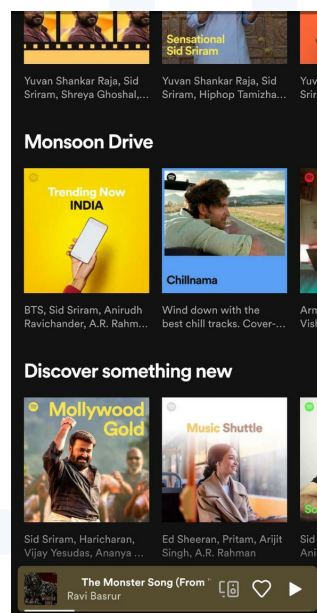
- *Collaborative Playlist*: Create shared playlist with friends by simply changing the playlist to a collaborative playlist useful for trips and parties
- *Radio*: This feature creates a radio of songs similar to your selection, genre, artist. Useful in scenarios where one can play similar songs without searching
- *Weekly Discovery, Daily Mixes*: Discovery curates new songs similar to taste every monday. Daily Mixes is a similar version with daily new songs to enjoy based on its recommendation

Pain Points

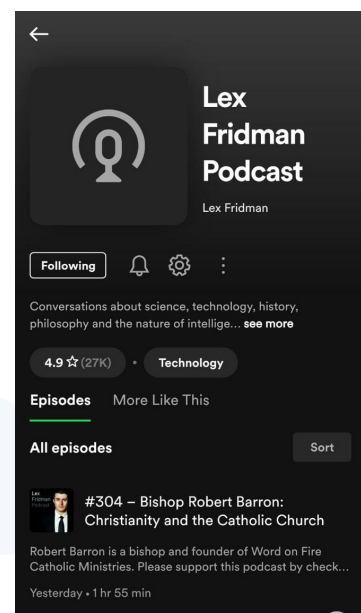
- When we forget a song and remember the tune alone it's almost difficult to find via Spotify even with such good recommendation engine
- Identifying friends with similar music taste is difficult in Spotify, ability to view a music profile will boost engagement and interaction



Music Search



Music
Recommendation



Pocasts

Solutions

- **A personalized program for beginner artists** - curated mentorship program and provide tools to budding artist to create their first few songs, provide them with required training, resources and professional help to create albums / podcast that help talent go further.
- **Spotify music profiles:** gives an archive and snapshot of a person's musical 'life' on spotify . The date that you first listened to a song on spotify, playcount of your favourite tracks, 'newly discovered' - the songs you've recently listened to for the first time then listened to lots since, 'mutual songs'
- **Music recognition**- Allow you to recognize the music just by playing or singing the song. You can see the name of the music, artist and even add the music to your own playlist.
- **Social Playlist** - Allows you to share a playlist with your friends and family members so that everyone can add their favourite song for any social occasion such as parties, family functions etc.
- **Custom Music Tagging** - Allows you to add a custom tag on music which can be used for quick filtering and identification of music at multiple playlists or search tabs.
- **New Music**- Discover new music by artists who the user already listens to or is very similar to the existing music taste of the user. The song should have a new tag to indicate that it is a latest release.

Metrics to track

North Star: Number of Daily Active Users (DAUs)

Acquisition

- Total number of new app downloads per week.
- Rate of people in the middle of sign-up process of spotify premium per week

Activation

- % of users who have completed the registration process to new app downloads in a week and listened to a song
- Total number of spotify premium users signed up in a week

Revenue

- Revenue earned from spotify premium per day
- Total number of ads watched by the users per day

Retention

- Number of Daily Active Users/Monthly Active Users
- User churn rate - users who are not listening to music for 6 months/users present at the beginning of the 6 month period

Referral

- % of total users who signed up via invite links per week
- Total invite links shared externally per week

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